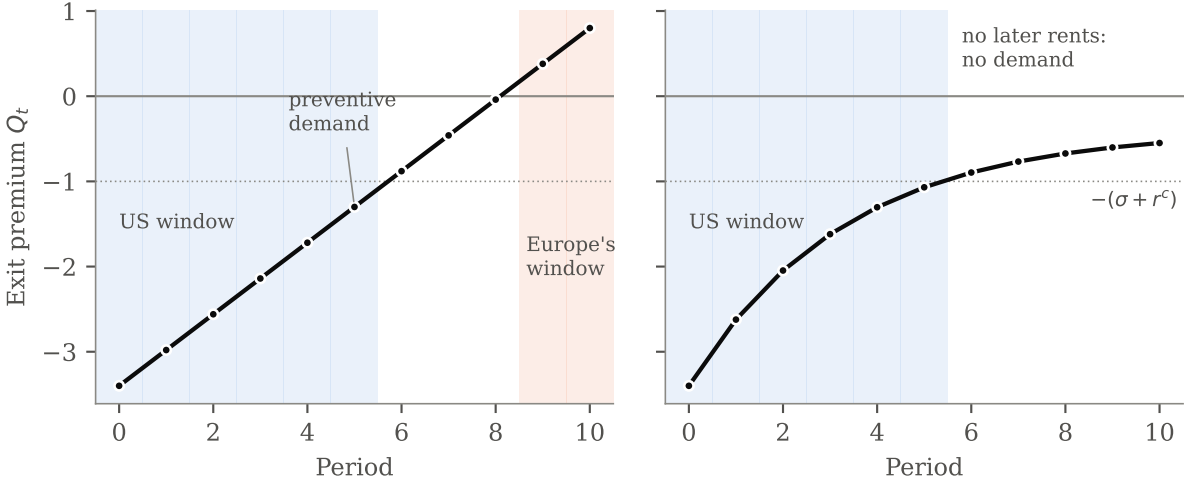
(a) Rising exit premium
(b) Exit premium rises but stays negative
Exit premium $Q_t$
1
0
−1
−2
−3
preventive
demand
US window
Europe's
window
no later rents:
no demand
$-(\sigma + r^c)$
0
2
4
6
8
10
Period
Period